

Supply and Determinants of Supply.

Contents

- Supply
- Law of Supply
- Supply Schedule
- Supply Curve
- Supply Function
- Exceptions to law of supply
- Determinants of Supply
- Stock & Supply
- Price Elasticity of Supply

What is supply?

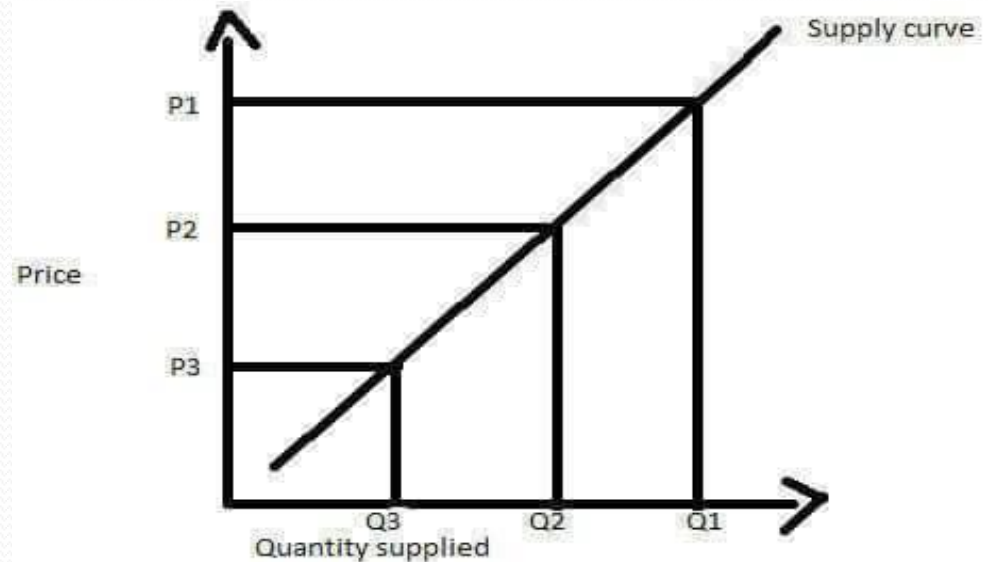


Definition of Supply

- Supply means the amount of goods and services offered for sell at a given price and given point of time.
- ➡ For example, the supply of tomatoes tell us the quantity of tomatoes that will be sold in market at a given price.

Law of Supply:

- All other things remaining constant, If price increase quantity supply will also increase and vice-versa.
- Quantity supplied of a commodity follows the price positively.

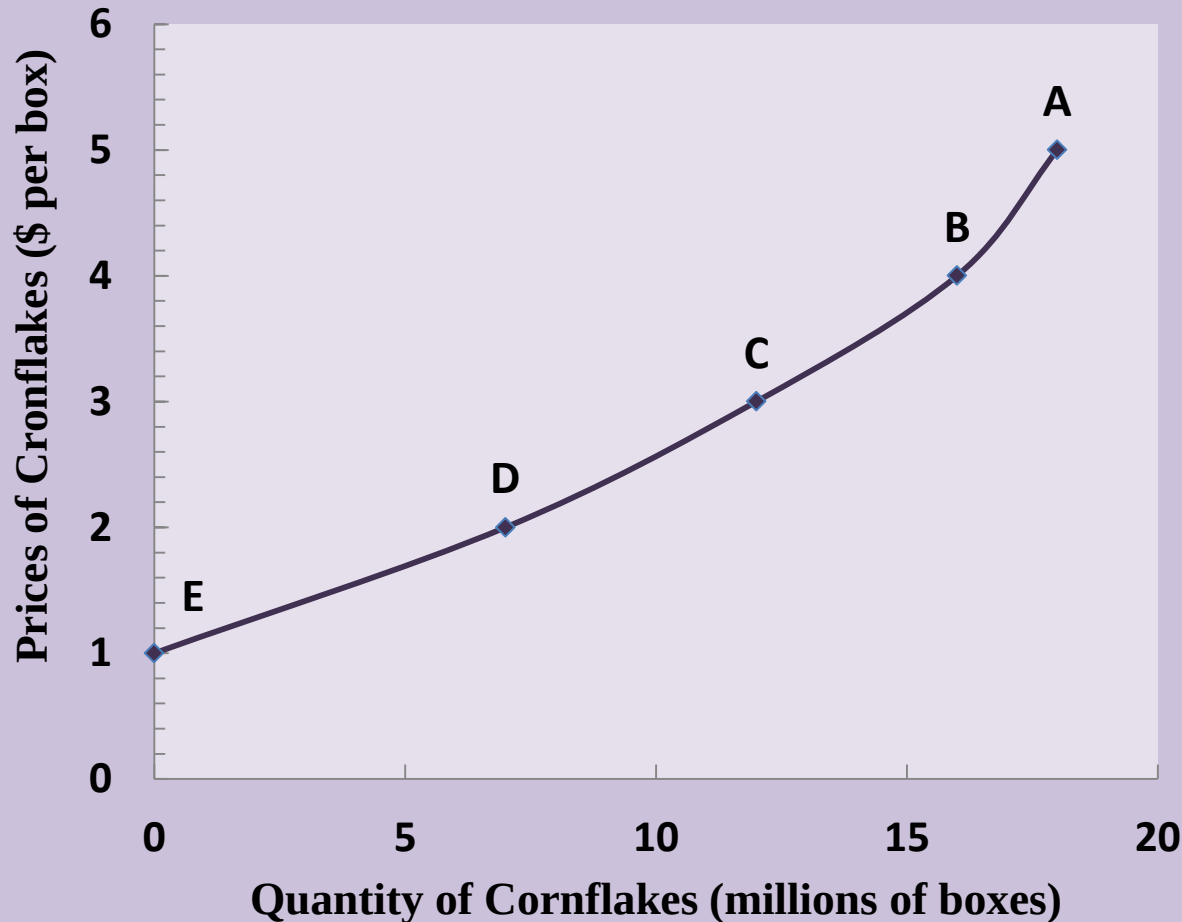


Supply Schedule

➡ The **supply schedule** is a table or list which shows the relationship between price and the amount of commodity that producers are willing to supply at a given price when all other things held constant.

Supply Schedule for Cornflakes	Price (\$ per box) P	Quantity supplied (millions of boxes) Q
As the price of cornflakes rises, the quantity of cornflakes that cereal makers want to produce and sell rises.	5	18
	4	16
	3	12
	2	7
	1	0

The Supply Curve



- ➡ The graphical representation of the supply schedule is the supply curve.
- ➡ The supply curve plots the price and quantity supply pairs from supply schedule.
- ➡ A smooth upward sloping curve passes through these points which is Supply curve.

Supply Function:

- An algebraic expression that shows how a quantity of a good supplied would vary with its price when other things being same.
- The simplest form of the supply function is:

$$Q_s = f(p)$$

Where, Q_s = Quantity Supplied

P = Price

f = Function

Exceptions to law of supply

- In case of rare, unique or antique item supply like paintings, historical jewelry, crown of a price etc.
- Supply of labor follows the law of supply up to a certain point then it violates law of supply.
- Agricultural products does not always follow it due to seasonal effects.
- Seller's expectation for more price hike in future.

Determinants of supply

- Price of the commodity or service,
- Costs of the various factors of production,
- Improved techniques of production,
- Improvement in the means of transport and communication,
- Number of Sellers,
- Goals set by the producing firms,
- Weather.

Determinants of supply :

Changes in the price of a commodity positively affect the supply of the commodity:



Determinants of supply contd.

- Costs of the various factors of production inversely affect the supply of a commodity.



Improved techniques of production positively affect the supply of the commodity



Number of Sellers in the market and the nature of competition among them has an obvious effect on supply of commodities





Goals set by the producing firms is also a determinant of supply of any good or service.

- SDGs
- Sustainable Consumption



Weather affects the supply of different commodity, specially the agricultural products, in different ways.

STOCK & SUPPLY

- Stock is the total volume of commodity, which can be brought into the market for sale at any short notice.
- supply means the quantity that is actually brought in the market.



Stock



Supply

Price Elasticity of Supply

- Measures the percentage change in quantity supplied in response to percent change in price.
- $E_s = \frac{\text{Percentage change in quantity supplied}}{\text{Percentage change in price}}$

Percentage change in price

Feel Free to Ask



THANK YOU

